Illustration 5

Record the following transactions in three column cash book of Gunasekaran.

2017 Jan		₹
1	Cash in hand	50,000
1	Cash at bank	90,000
2	Goods sold on credit to Rohini	15,000
5	Cheque received from Rohini in full settlement and deposited into bank	14,500
6	Cash deposited into bank through cash deposit machine	18,000
7	Goods sold to Sridhar for ₹ 12,000. He made the payment of ₹ 11,800 by debit card in full settlement by availing a cash discount of ₹ 200	
10	Money withdrawn from bank for office use	2,000
12	Purchased goods from Raja for ₹ 10,000 and paid through credit card in full settlement by availing a cash discount of ₹ 200	9,800
14	Nathiya who owed money made the payment through NEFT	18,000
27	Cheque of Rohini dishonoured	

(See the solution in the next page)

7.10 Petty cash book



Student activity

Think: A cashier finds it difficult to maintain record of large volume of cash payments, ranging from ₹ 5 to ₹ 10,00,000. Can you suggest a way to reduce his work burden?

Business entities have to pay various small expenses like taxi fare, bus fare, postage, carriage, stationery, refreshment and other sundry items. These are small payments and repetitive in nature. If all these small payments are recorded in the main cash book, it will be loaded with lot of entries. Hence, all petty payments of the business may be recorded in a separate book, which is called as petty cash book and the person who maintains the petty cash book is called the petty cashier. Thus business concerns may maintain main cash book and petty cash book separately.

All the small payments must be supported by vouchers, that is, documentary evidences. The vouchers must be numbered and filed in order. Petty cashier makes only cash payments. He must not be allowed to receive any cash except for reimbursement. Petty cashier has to make payments only within the specified limit. Payments involving large amounts must be made only by main cashier. At the end of the relevant period, petty cash book is balanced. Balancing of petty cash book is similar to the balancing of simple cash book.

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